Table M1: Client Selection, Audit Warnings, and Big 4 Client Risk

Panel B: Audit Warnings and Client Outcomes

	MAO model			GC model		
Dependent variable	(1) Current failure	(2) Violation announcement, $t+1$	(3) Restatement $t+1$	(4) Current failure	(5) Violation announcement, $t+1$	(6) Restatement $t+1$
Big 4 gap: unwarned	-0.020**	-0.008**	-0.004	-0.021**	-0.009***	-0.005
	(0.008)	(0.003)	(0.006)	(0.008)	(0.003)	(0.006)
Big 4 gap: warned	-0.063*	-0.053**	-0.013	-0.119***	-0.089***	0.018
	(0.034)	(0.023)	(0.023)	(0.045)	(0.024)	(0.045)
Big 4 no-event gap: warned	0.063*	0.053**	0.013	0.119***	0.089***	-0.018
	(0.034)	(0.023)	(0.023)	(0.045)	(0.024)	(0.045)
Observations	70,197	64,299	64,299	70,197	64,299	64,299
Firms	5,623	5,352	5,352	5,623	5,352	5,352
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Missing-value indicators	Yes	Yes	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes
Industry × Year FE	Yes	Yes	Yes	Yes	Yes	Yes
SE clustering	Firm	Firm	Firm	Firm	Firm	Firm

Significance: * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.